

Unit 8

Taxation Planning

Unit 8: Taxation Planning

Why pay tax?

Calculating personal income tax

Personal income tax rates

Preparing a tax return

Personal income tax strategies

Interest

Gains in value

Rent from property

Dividends from shares

Leveraged investments

Investment tax strategies

General Advice Warning

The content of this Unit is not personal financial advice for you

It covers general principles

... taught as part of university course based on the Australian system.

It does not take into account your situation, objectives or needs.

You are responsible to consider whether it is suitable

... for your personal circumstances.

You should consider obtaining financial and tax advice yourself.

Discussion

Tax avoidance or **tax planning** uses **legal** methods to reduce tax.

Tax evasion uses methods that are **not legal** to reduce tax.

How can understanding how tax works be useful to an ordinary person?

Why not just outsource tax planning to an accountant or tax adviser?

What values and beliefs were you raised to hold around tax?

How important is tax planning?

Is tax evasion acceptable if you can get away with it?

Why Pay Tax?

What comes to mind when you hear the word ...

TAX

5 myths about tax

- 1. Smart people avoid paying tax**
- 2. Taxes just end up going to pay politicians**
- 3. I don't receive any benefits from my taxes**
- 4. Big companies don't pay much tax**
- 5. Rich people don't pay much tax**

Why governments make sense

1. International relations
2. Alignment and co-ordination
3. Defence and law and order
4. **Reduce the problems of 'free-riders'**
Public goods such as defense, law and order, roads
5. **Promote good things undersupplied by market**
Positive externalities such as research and development
6. **Regulate bad things oversupplied by market**
Negative externalities such as pollution

The big versus small government debate

Big government is better

Government can solve problems in the economy

Government provides jobs

Stimulates the economy

Long-term national projects

‘Pie’ is distributed fairly

‘Looks after’ people

Small government is better

Government makes problems worse

Private sector better at providing sustainable jobs

Government is inefficient with long-term projects

Larger overall size of ‘pie’

Those ‘looked after’ have less incentive to be responsible

Tax is one of the two certainties in life!

Personal income tax

Investment tax

Corporate tax

Consumption tax

Carbon tax

Resource tax

Sales tax

Excises

Tobacco, alcohol, petroleum

Retirement savings tax

Duties and fees

Stamp duties

Payroll tax

Fines

Dividends

Rates

The other certainty is 'death' in case you were wondering!

What do they do with all that tax?

Federal, state and local governments

Public services

Health

Roads

Public transport

Education

Social security

Law and order

Disability services

Foreign aid

Energy infrastructure

Military

Emergency services

Waste disposal

Local council services

Calculating Personal Income Tax

in Snowland

Introducing the country of Snowland

Tax varies from country to country

... and even state by state in some countries!

So we will learn tax for the mythical country of Snowland

Then compare it with Australia

How is personal income tax calculated?

Step 1: Calculate **Assessable Income**

Step 2: Deduct **Allowable Deductions**

Step 3: Calculate **Taxable Income** ($1 - 2$)

Step 4: Calculate **Tax on Taxable Income** using table

Step 5: Add **Levies**

Step 6: Add **Other taxes**

Step 7: Add **Payments to government**

Step 8: Deduct **Tax Rebates or Tax Offsets**

Step 9: Calculate **Personal Income Tax** ($4 + 5 + 6 + 7 - 8$)

Step 10: Deduct **Tax already paid**

Step 11: Calculate **Net Tax Payment** ($9 - 10$)

1. Assessable Income

Any income that tax legislation deems to be ‘assessable’

Salary or wages

Benefits provided by employer in many countries

Interest, dividends and rent in many countries

We will handle these separately under ‘Investment income tax’

Example:

John earns a salary of \$40,000

John’s assessable income = \$40,000

2. Allowable Deductions

Expenses that you have incurred while generating assessable income that are ‘allowed’ by tax legislation and haven’t been reimbursed by your employer

Work-related training and education

Work-related travel or clothing expenses

Interest or other necessary expenses related to investment income

Donations to tax deductible charities (not places of worship in Australia)

The colloquial term for these are ‘tax deductions’

Example:

John pays \$1,500 to do a work-related training course

John pays \$500 on some special clothing required for work

John’s allowable deductions = $1,500 + 500 = \$2,000$

3. Taxable Income

Assessable income less Allowable deductions

A key number in our calculations!

Example:

John's assessable income is \$40,000

John's allowable deductions are \$2,000

John's taxable income is $40,000 - 2,000 = \$38,000$

4. Calculate Tax on Taxable Income using table

The country of Snowland has a marginal tax system:

$(\text{Taxable income} - \text{Lower bracket}) \times \text{Marginal tax rate} + \text{Tax on previous brackets}$

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 to \$10,000	0%	\$0
2	\$10,000 to \$20,000	10%	\$0 = 0% x 10,000
3	\$20,000 to \$40,000	20%	\$1,000 = 0 + 10% x (20,000 - 10,000)
4	\$40,000 to \$80,000	30%	\$5,000 = 1,000 + 20% x (40,000 - 20,000)
5	\$80,000 or more	40%	\$17,000 = 5,000 + 30% x (80,000 - 40,000)

Example:

John has taxable income of \$38,000 which is in bracket 3

Tax on taxable income = $(38,000 - 20,000) \times 20\% + 1,000 = \$4,600$

5. Add Levies

Additional taxes may apply to taxable income or the components of assessable income

For Snowland there is a 2% Medicare Levy on taxable income to partly cover government healthcare

John has taxable income of \$38,000

Medicare Levy = $38,000 \times 2\% = \$760$

6. Add Other Taxes

Additional taxes may apply to various investments

For Snowland there is a 15% tax on dividends received on any shares

John earned \$1,000 in dividends on shares (distributions of profit)

Dividend tax = $1,000 \times 15\% = \$150$

7. Add Payments to Government

Sometimes governments will also collect other money owed to them through the tax system that are not actually taxes

Snowland has a generous student loan scheme to help fund higher education

The interest rate of the student loan scheme is set slightly above the inflation rate (usually between 3% to 4% per year)

Loan repayments are collected through the tax system at the rate of 5% of assessable income

Example:

John has assessable income of \$40,000

Student loan scheme repayment = $40,000 \times 5\% = \$2,000$

8. Less Tax Rebates or Offsets

Tax rebates are very different from allowable deductions

\$1 of tax rebate results in a \$1 reduction in tax

While \$1 of allowable deductions results in $(\$1 \times \text{marginal tax rate})$ reduction in tax which is nowhere near as good!

They are usually associated with tax on investment income that has already been paid

Example:

John has no tax rebates

9. Calculate Personal Income Tax

Personal income tax:

Tax on taxable income + Levies and taxes + Repayments – Tax rebates

If positive then you owe tax to government

If negative then you get a tax refund from government

Example for John:

4.	Tax on taxable income	4,600
5.	Medicare levy	760
6.	Dividend tax	150
7.	Student loan scheme repayment	2,000
8.	Less tax rebates	0
9.	Personal income tax	7,510

10. Deduct Tax already paid

Companies in Snowland estimate an employees expected income tax based on their fortnightly income and then deduct that tax automatically from their salary or wages.

The companies then pay the tax that they have collected to the tax office at the end of each month.

Example:

John's income tax already paid through payroll system = \$7,000

11. Calculate Net Tax Payment

**Calculated personal income tax (step 9)
less tax already paid (step 10)**

If positive then this must be paid to tax office

If negative then this is your tax refund

Example:

John's personal income tax = \$7,510

Less income tax paid = \$7,000

Net tax payment = \$510 (must be paid to tax office)

Q: What is John's Tax on Taxable Income?

John lives in the country of Snowland. He is an engineer and has a gross salary of \$60,000 per year. He has allowable deductions of \$10,000 from an engineering course that he paid for himself.

What is John's tax on taxable income?

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 to \$10,000	0%	\$0
2	\$10,000 to \$20,000	10%	$\$0 = 0\% \times 10,000$
3	\$20,000 to \$40,000	20%	$\$1,000 = 0 + 10\% \times (20,000 - 10,000)$
4	\$40,000 to \$80,000	30%	$\\$5,000 = 1,000 + 20\% \times (40,000 - 20,000)$
5	\$80,000 or more	40%	$\$17,000 = 5,000 + 30\% \times (80,000 - 40,000)$

Q: What is John's Tax on Taxable Income?

Assessable Income = 60,000

Allowable Deductions = 10,000

Taxable Income = 50,000

Tax on taxable income = $5,000 + 0.30 \times (50,000 - 40,000)$
= **8,000**

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 to \$10,000	0%	\$0
2	\$10,000 to \$20,000	10%	\$0 = 0% x 10,000
3	\$20,000 to \$40,000	20%	\$1,000 = 0 + 10% x (20,000 - 10,000)
4	\$40,000 to \$80,000	30%	\$5,000 = 1,000 + 20% x (40,000 - 20,000)
5	\$80,000 or more	40%	\$17,000 = 5,000 + 30% x (80,000 - 40,000)

Q: What is Lucy's Net Tax Payment?

Lucy lives in Snowland. Her gross salary is \$90,000 per year. She has work related deductions of \$2,000. She received interest of \$1,000 and also dividends of \$1,000. She has a tax rebate of \$300 from medical expenses. She has a government student loan of \$30,000. \$27,300 in tax has already been deducted from her gross salary. What is Lucy's net tax payment?

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 to \$10,000	0%	\$0
2	\$10,000 to \$20,000	10%	$\$0 = 0\% \times 10,000$
3	\$20,000 to \$40,000	20%	$\$1,000 = 0 + 10\% \times (20,000 - 10,000)$
4	\$40,000 to \$80,000	30%	$\\$5,000 = 1,000 + 20\% \times (40,000 - 20,000)$
5	\$80,000 or more	40%	$\$17,000 = 5,000 + 30\% \times (80,000 - 40,000)$

Q: What is Lucy's Net Tax Payment?

1. Assessable income	$90,000 + 1,000 = 91,000$
2. Allowable deductions	2,000
3. Taxable income	$91,000 - 2,000 = 89,000$
4. Tax on taxable income	$17,000 + 0.4 \times (89,000 - 80,000) = 20,600$
5. Medicare levy	$0.02 \times 89,000 = 1,780$
6. Dividend tax	$0.15 \times 1,000 = 150$
7. Repayment of student loan	$0.05 \times 91,000 = 4,550$
8. Tax rebate	300
9. Personal income tax	$20,600 + 1,780 + 150 + 4,550 - 300 = 26,780$
10. Tax already paid	27,300
11. Net tax payment	$26,780 - 27,300 = -\underline{520}$ (\$520 tax refund)

Personal Income Tax Rates

in Australia

Assessable income in Australia

Salary or wages

Any other 'business' related income

Interest on bank accounts (more in next topic)

'Grossed up' dividends on shares (more in next topic)

Gains in value on investments (more in next topic)

Marginal tax rates for residents in Australia

Marginal tax rates for the 2024–25 financial year (starts 1 July, ends 30 June)

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 - \$18,200	0%	\$0
2	\$18,201 - \$45,000	16%	\$0
3	\$45,001 - \$135,000	30%	$\$4,288 = 0 + 16\% \times (45,000 - 18,200)$
4	\$135,001 - \$190,000	37%	$\$31,288 = 4,288 + 30\% \times (135,000 - 45,000)$
5	\$190,001 or more	45%	$\$51,638 = 31,288 + 37\% \times (190,000 - 135,000)$

There is also a Low Income Tax Offsets (LITO) (see following slide)

New tax rates started on 1 July 2024

Until 30 June 2024

Bracket	Taxable income p.a.	Marginal tax rate
1	\$0 - \$18,200	0%
2	\$18,201 - \$45,000	19%
3	\$45,001 - \$120,000	32.5%
4	\$120,001 - \$180,000	37%
5	\$180,001 or more	45%

From 1 July 2024

Bracket	Taxable income p.a.	Marginal tax rate
1	\$0 - \$18,200	0%
2	\$18,201 - \$45,000	16%
3	\$45,001 - \$135,000	30%
4	\$135,001 - \$190,000	37%
5	\$190,001 or more	45%

Low Income Tax Offsets

A Low Income Tax Offset (LITO) is a tax reduction that only applies to low income earners.

In 2024–25 financial year, LITO is:

Bracket	Taxable income p.a.	LITO
1	\$0 - \$37,500	\$700
2	\$37,501 - \$45,000	Decreases at 5 cents per dollar of taxable income
3	\$45,001 - \$66,667	Decreases at 1.5 cents per dollar of taxable income
4	\$66,667 or more	Nil

Marginal tax rates for foreigners

Marginal tax rates for the 2024–25 financial year

Bracket	Taxable income p.a.	Marginal tax rate	Tax on previous brackets
1	\$0 - \$135,000	30%	\$0
2	\$135,001 - \$190,000	37%	\$40,500
3	\$190,001 or more	45%	\$60,850

Medicare Levy in Australia

Medicare Levy = 2.0%

Possibly less or zero if you have a very low income (more on the link below)

If you have no qualifying private hospital cover then you pay an Additional Medicare Levy Surcharge of between 1.0% and 1.5%

Situation	Base tier	Tier 1	Tier 2	Tier 3
Single threshold	\$97,000 or less	\$97,001-\$113,000	\$113,001-\$151,000	\$151,001 or more
Family threshold	\$194,000 or less	\$194,001-\$226,000	\$226,001-\$302,000	\$302,001 or more
Medicare levy surcharge	0%	1%	1.25%	1.5%

Government student loan repayments

Includes Higher Education Loan Program (HELP) and various others

Repayment is based on your Repayment Income (RI)

RI = taxable income
 + net rental losses
 + reportable fringe benefits
 + exempt foreign employment income

0% Repayment Rate if RI is below \$54,435 (2024–25)

10% Repayment Rate if RI is above \$159,664 (2024–25)

Repayment rate increases from 1% to 10% between these two amounts.

Outstanding debt incurs interest at lower of price inflation and wage inflation.

Australian Taxation Office (2024) 'Study and training loan repayment thresholds and rates' at ato.gov.au

Australian Government (2024) 'HELP loans' at studyassist.gov.au

Preparing a Tax Return

in Australia

The responsibility is yours ...

Australia works on a 'self-assessment' system.

ATO trusts you to:

- Work out your own tax liability

- Ask for the help of an accountant if needed

- Submit a correct tax return that calculates how much you owe them (or they owe you)

The ATO then conducts random and also some targeted audits on people / companies.

ATO imposes heavy fines if you breach their 'trust'.

ATO 'monitoring' has improved significantly in recent years with better database systems.

Who has to lodge a tax return?

You must lodge a tax return if:

You paid tax during the year; and/or

Your taxable income > \$18,200 (for residents)

Preparing your first return

Three options:

1. Do it yourself using myTax (online)

A good system for those with a reasonable simple situation and financial intelligence.

Most of the information is pre-filled by the ATO.

2. Tax Agent (cheaper)

Need a licence but may not have a university degree.

Tax return preparation fees are an allowable deduction.

3. Accountant (more expensive)

University degree and member of professional accounting organisations (CPA or CA ANZ)

Tax return preparation fees are an allowable deduction.

Sections of a tax return

Income – to calculate assessable income

Deductions – to calculate allowable deductions

Losses carried forward

Tax offsets

Private Health Insurance

Medicare Levy issues

Various Adjustments

Supplementary sections for some investments

What is helpful to have before you start

Copy of last year's income tax assessment

Tax File Number

Final payslip for the financial year from employer with total payments

Centrelink summary statements

Your June bank statement that summarises interest and fees for the year

Receipts for any deductions

Tax summaries for any managed funds or other investments

Buys, sells and dividends for any shares

Tax return tips

Due by October 31!

But can get extension if you call ATO 1+week beforehand with a good sob story!

If you lodge using a Registered Tax Agent then it can be lodged later (usually by 15 May)

Keep a special tax folder during the year and put any relevant documents in it as you receive them.

Make sure you have everything before you start your tax return.

If your spouse or parents prepare your tax return then watch them do it this year and do it yourself next year ... it's an important life skill!

Keep all records for 5 years

When to get help

Get an accountant (or tax agent) if you have:

Your own business

Investment properties

Depreciation calculations

Lots of allowable deductions (tax deductions)

A 'questionnaire' from the ATO asking you how you derived your calculations for last year's tax return (a prelude to an audit).

Personal Income Tax Strategies

in Australia

1. Allowable Deductions

ATO gives guidelines at www.ato.gov.au
... Individuals ... Deductions Checklist

It is now very difficult to get any!

Main tax deductions are:

- Bank fees

- Self-education expenses

- Transport and motor vehicle expenses while at work

- Accounting fees for preparation of tax return

- Depreciation on home computer used for work purposes

- Donations to tax deductible charities (not places of worship)

It's usually better to try to get your employer to reimburse you for the full amount!!

2. Income Splitting

For people who are married or in long-term defacto relationship.

Generally used when one spouse is at home looking after children while other is doing paid work.

Worker's taxable income is \$80,000

Carer's taxable income is \$15,000

All savings and investments should be placed under carer's name to take advantage of their tax-free threshold and lower marginal tax rate.

Self-employed or family businesses use this as well. Carer works as book-keeper in return for legitimate salary.

3. Income Timing

**Income is usually taxed when it is paid
(not necessarily when it is earned).**

**Sometimes you have a choice when to be paid
(eg a bonus or payment for contract work).**

**If you expect to earn more money next financial year
then get paid before June 30.**

If you expect to earn less money next year then get paid after July 1.

Beware of ...

Complex personal finances

- Added accounting and financial planning fees
- Increased personal time
- Increased 'switching costs' to change structure
- Decreased happiness because of time and hassle

Adequate records

- You must keep detailed records of deductions for 5 years.

Stay away from investment tax schemes!!!

Break

Interest

Interest in Snowland

Interest on bank accounts is treated as ordinary assessable income

Example:

**John earns \$1,000 interest on bank savings account
so \$1,000 is added to his assessable income**

Interest in Australia

Australia is the same as Snowland

Gains in Value

Gains in value in Snowland

Any gains in value of investments (such as property or shares) are treated as 'assessable income'

If you have held the investment for more than 1 year then only 50% of the gain is 'assessable income'

Primary residence is exempt from tax on gains if it has not been rented out to tenants.

Example:

John buys some shares for \$5,000 and then sells them 2 years later for \$7,000.

Assessable income of $\$2,000 \times 0.5 = \$1,000$ is recorded in the tax year in which he sold the shares

Gains in value in Australia

Australia is pretty much the same as Snowland

Under the '6 year rule' it may still be possible to temporarily live away from your primary residence, rent it out and the capital gains may still be exempt

However, this is a 'grey area' in tax law and you should get tax advice on this.

Rent from Property

Rent from property in Snowland

Rent income on property is assessable income

Split between owners of property

There can be a lot of allowable deductions:

Interest on an investment loan used to purchase the property

Maintenance

Agent fees

Depreciation on fixtures

Gains on primary residence are tax free

Rent from property in Australia

Australia is the same as Snowland but get an accountant since the deductions can be tricky and the ATO audits!

Dividends from Shares

Dividends from shares in Snowland

When companies earn profits they pay some of those profits to shareholders in the form of 'dividends'

Dividends are taxed at a rate of 15% in Snowland

They are taxed at a reduced rate since the company has already paid corporate tax on profits.

Dividends on shares in Australia

Most governments 'double dip' with taxation!

Companies pay tax on their profits (30% tax)

Small businesses with turnover less than \$50 million pay only 25% corporate tax rate

Dividends are paid to shareholders out of the after-tax profits

Individuals pay tax on their dividends (up to 47% tax).

Australia has stopped this through 'franked dividends'

A fully-franked dividend consists of a cash payment and also some 'franking credits' (tax credits).

Government refunds any corporate tax paid by the company to the individual shareholder as tax rebate.

... continued

Add the total of the cash amount plus the franking credits to your assessable income.

Corporate tax rate is currently 30% so for fully-franked dividends:

Assessable income = cash dividend / 0.7

Franking credit = assessable income – cash dividend

Calculate income tax.

Deduct the 'franking credits' from your total tax payable.

The net result is that the government refunds any company tax that the company has paid.

For example, if your marginal tax rate is 45% then you effectively pay an extra 15% + ML on your dividends.

Dividends example for Australia

You receive a cash dividend of \$700

Dividend notice advises 'franking credits' are \$300

You report your income as $\$700 + \$300 = \$1000$

Even though you only received \$700 in cash!

Calculate tax at your marginal rate (say 41.5%) = \$415

Report the 'franking credit' as a tax rebate on tax return

You receive a tax rebate of \$300

You only pay an extra \$115 in tax

Total tax received by government is \$300 in corporate tax plus \$115 in personal income tax = \$415 = 41.5% tax

Leveraged Investments

What are leveraged investments?

A leveraged investment is when you borrow money to fund an investment.

Usually you borrow money from a bank in the form of an 'investment loan'

If it is a property then the interest rate is similar to an ordinary home loan rate (but slightly higher).

If you borrow to buy shares then it is called a 'margin loan' and the interest rates are much higher.

Leveraged investments in Snowland

If you borrow money in the form of an investment loan to fund an investment then the interest on the investment loan is an allowable deduction.

Interest rates are slightly higher on 'investment' compared to 'home' loans

If it is an 'interest only' loan then full payment is an allowance deduction

Interest rates are slightly higher on 'interest-only' compared to 'principal and interest' loans

If it is a 'principal and interest' loan then only the interest component is an allowable deduction

The investment loan must be separate from a home loan used to purchase the investor's primary residence.

Leveraged investments in Australia

Australia is the same as Snowland

Investment Tax Strategies

in Australia

1. Negative Gearing

Investment deductions (expenses) exceed investment assessable income

Usually from borrowing money to invest in property or shares

Main assessable income is rental income or dividends

Main allowable deduction is the interest on the loan

Can also claim property expenses and depreciation on fixtures

Depreciation allowances often more generous for newly constructed homes/apartments

If investment's assessable income < allowable deductions

... then it DECREASES your overall taxable income

However ...

No point getting tax deductions on a dud investment

The goal is to maximise after-tax returns NOT minimise tax!!!

Geared investments magnify possible returns AND losses!

2. Franking Credits

Franking credits on dividends are a tax credit

So they reduce income tax by \$1 for each dollar of franking credit

They are very valuable for legitimately reducing tax

If you also negatively gear the share investments then you can often reduce the tax on the investment income to zero

3. Superannuation

Salary sacrificing income into super is 'effectively' just like a deduction

or make a personal after-tax non-concessional contribution and directly claim a deduction

For example:

Salary \$60,000 + 10% employer super

\$60,000 is normally assessable income

If salary sacrifice another \$5,000 then

taxable income = \$60,000 – \$5,000 = \$55,000

total contributions = \$6,000 (employer) + \$5,000

Salary sacrifice taxed at just 15% rather than 32.5% or more

Assuming that you are under the concessional contributions cap

4. Interest Offset Accounts

Normally any interest in your savings account is assessable income.

In a mortgage-offset account, your savings account balance is 'off-set' against your home mortgage.

Any savings are used to reduce the principle of the loan (your loan amount).

As such, you don't really earn interest (you just pay less interest).

Good way to reduce tax.

**However, interest rates on offset accounts are higher than variable rates.
Do the tax savings usually outweigh the added interest costs????**

Beware of ...

Complex personal finances

- Added accounting and financial planning fees
- Increased personal time
- Increased 'switching costs' to change structure
- Decreased happiness because of time and hassle

Adequate records

- You must keep detailed records of deductions for 5 years.

Stay away from investment tax schemes!

Your Financial Plan

Explain your tax situation and strategies for each life stage

Identify main sources of assessable income and allowable deductions

Tax strategies to pay ‘the right amount’ of tax for your situation

You do NOT need to estimate your tax at each life stage

This section should be based on the Australian Taxation System

... whether or not you plan to be living in Australia for most of your life.

More information under ‘Financial Plan Instructions’ document

... on the course website under ‘Financial Plan’ section

Join us in a Drop-in Session

Each week we have a drop-in Q&A session on Zoom

Details are on the course website under ‘Getting Started Hub’

Bring along some questions that you have about the Unit.

Sessions are not recorded.

You are also welcome to ask questions on the ‘General Forums’